THE CALIFORNIA STATE UNIVERSITY AND COLLEGES
Office of the Chancellor
400 Golden Shore
Long Beach, California 90802
(213) 590-5512

Date: July 1, 1982

To: Presidents

From: Harry Harmon
Executive Vice Chancellor

Subject: Rules and Procedures Governing the Operation of the Special Projects Fund
Executive Order No. 392

I am transmitting to you a copy of Executive Order No. 392 which articulates the administrative procedures for the Special Projects Fund and replaces Executive Orders No. 174 and 184.

The change in the new Executive Order involves the deletion of the requirement in Section C "that the campuses will submit quarterly a brief summary of each of the funded projects to the Chancellor's Office."

It is your responsibility as President to implement Executive Order No. 392 where applicable and to maintain the campus repository and index for all Executive Orders.

HH:bh

Attachment

Distribution: Business Managers
Financial Managers
Chancellor's Office Staff

THE CALIFORNIA STATE UNIVERSITY
Office of the Chancellor
400 Golden Shore
Long Beach, California 90802

Executive Order No.: 392

Title: **Rules and Procedures Governing the Operation of the Special Projects Fund**

Effective Date: July 1, 1982

Supersedes: **Executive Orders No. 174 and 184**

This Executive Order is issued pursuant to Section 42390 of Title 5, California Administrative Code.

A. Administration

The President of each campus of The California State University is hereby granted fiscal and administrative authority and responsibility for the total operation of the campus Special Projects Fund. These monies are generated by grants, revenues and funds of any nature received from the federal government, the state, local government, or private persons, for research, workshops, conferences, institutes, and special projects (all of which are hereinafter called "projects").

This authority and responsibility includes:

1. Receipt and deposit of monies received for projects.

2. The entering into of contracts for these projects within the Special Projects Fund.

3. The execution of leases for facilities and contracts for services necessary to perform the requirements of any grant, contract, award or gift for the projects, or to provide ancillary services related thereto.

4. The implementation of operating procedures, including the accounting system described in the *University and College Administrative Manual*, Fiscal Management Section 3713.

5. Education Code Section 89725 requires an annual audit of each campus "Special Projects Fund Account." This Section provides in part: "All expenditures shall receive an annual postaudit by the Audits Division of the Department of Finance." The President may initiate additional audits as desired by the Trustees' Internal Audit staff or a certified public accountant. Copies of all audit reports shall be transmitted to the Chancellor's Office within 10 days after these reports are received by the campus.

B. Operation

The President of each campus of The California State University shall establish the following operating policies when the institution determines to utilize this Fund.

1. Proposals or requests for funding projects shall be submitted to sponsoring federal or state agencies, public or private corporations, private foundations or individuals only upon prior approval of the President of the campus or designee.

2. Prior to acceptance, the President shall determine that all requirements pertaining to the project can be met.

3. All personnel responsible for the preparation and submission of proposals shall be informed that all grants, contracts, awards, and gifts shall be submitted and accepted in the name of the university or the college and not by an individual.

4. Prior to submittal and acceptance, the chief fiscal officer of the campus shall review and approve the fiscal aspects of each proposal. Cost-sharing components which are required by a proposed project shall reflect an accurate and acceptable contribution by the campus.

5. If a project requires direct contribution of state funds or diversion of funds from their budgeted purposes, either initially or at a future date, prior approval by the Chancellor's Office shall be obtained.

6. Upon acceptance, the chief fiscal officer, in consultation with the project director or principal investigator, shall establish and administer the budgetary and fiscal requirements of the project.

7. The chief fiscal officer is responsible and accountable to the President for the proper expenditure of funds.

C. Procedures

The President shall establish procedures to ensure the following:

1. That travel of the project director or staff members, in connection with project activities, shall be previously authorized by the campus administration. Rules governing travel expenses of campus personnel will be followed.

2. That claims for reimbursement for travel involving two or more projects shall contain a statement to the effect that duplicate payment is not being requested or has not been received from other projects. Proper distribution shall be made of travel expenses involving two or more projects.

3. That project directors, consultants, or project staff members shall not be hired on any project until the terms and conditions of employment, particularly salary, have been computed, agreed to, and confirmed in writing between individuals and the campus administration.

4. That purchases for materials, services, or equipment and disbursement therefor, are accomplished through accepted business practices, since these are exempt from approval by the Department of General Services and the Department of Finance.

Glenn S. Dumke, Chancellor

Date: July 1, 1982